

TESLA, INC.

**Quarterly Financial Report — Q1 2025 vs Q4 2024 vs Q3 2024 vs Q2 2024
vs Q1 2024**

Earnings Call Transcript and Financial Summary

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1. Executive Summary

Tesla, Inc. reported mixed financial results across five consecutive quarters from Q1 2024 through Q1 2025. The company faced significant headwinds in Q1 2025, including a sharp decline in vehicle deliveries, deteriorating operating margins, and macroeconomic pressures from rising interest rates and weakening consumer demand. Revenue declined 9.4% year-over-year in Q1 2025 to \$19.3 billion, compared to \$21.3 billion in Q1 2024. The operating margin collapsed from 11.4% in Q1 2024 to 2.1% in Q1 2025, raising significant concerns about Tesla's near-term profitability. Net income fell 71% year-over-year to \$409 million in Q1 2025 from \$1.39 billion in Q1 2024. Free cash flow also deteriorated significantly, declining from \$2.06 billion in Q2 2024 to \$0.35 billion in Q1 2025.

Despite these near-term challenges, Tesla maintains several structural competitive advantages including its Supercharger network, over-the-air software update capabilities, energy generation and storage business, and significant investments in AI and autonomous driving technology through its Full Self-Driving (FSD) program. The company ended Q1 2025 with \$16.2 billion in cash and cash equivalents, providing a significant liquidity buffer. However, the trajectory of declining margins and revenue growth requires careful monitoring.

2. Revenue Performance

Tesla's revenue has shown significant volatility over the past five quarters. The company achieved peak quarterly revenue of \$25.7 billion in Q4 2024, driven by strong end-of-year delivery volumes and energy storage deployments. However, Q1 2025 saw a sharp reversal with revenue falling to \$19.3 billion, representing a 24.9% sequential decline and a 9.4% year-over-year decline.

Quarter	Revenue (\$B)	YoY Growth	Sequential Change
Q1 2024	\$21.3B	+8.5%	—
Q2 2024	\$23.4B	+12.3%	+9.8%
Q3 2024	\$24.1B	+10.7%	+3.0%
Q4 2024	\$25.7B	+15.2%	+6.6%
Q1 2025	\$19.3B	-9.4%	-24.9%

The Q1 2025 revenue decline was primarily driven by lower vehicle deliveries of 336,681 units, down sharply from 484,507 units in Q4 2024 and 422,875 units in Q1 2024. The automotive segment, which accounts for approximately 78% of total revenue, declined to \$15.0 billion from \$19.4 billion in Q4 2024. The energy generation and storage segment provided some offset, growing to \$2.7 billion from \$2.4 billion in Q4 2024, representing a 12.5% sequential increase and the segment's strongest quarterly performance to date.

3. Margin Analysis

Tesla's margin profile has deteriorated significantly over the trailing five quarters. The gross margin compression reflects ongoing price cuts implemented to defend market share, rising raw material costs, and lower production volumes leading to negative operating leverage. The operating margin of 2.1% in Q1 2025 is the lowest in recent company history and well below the 11.4% achieved in Q1 2024.

Quarter	Gross Margin	Operating Margin	Net Margin	EBITDA Margin
Q1 2024	17.4%	11.4%	6.5%	15.2%
Q2 2024	18.0%	10.8%	5.9%	14.8%
Q3 2024	17.1%	10.1%	5.2%	14.1%
Q4 2024	16.3%	6.2%	3.8%	11.3%
Q1 2025	16.3%	2.1%	2.1%	8.7%

The DuPont analysis reveals a concerning deterioration in Tesla's return on equity. Net profit margin compression from 6.5% in Q1 2024 to 2.1% in Q1 2025, combined with lower asset turnover reflecting underutilized manufacturing capacity, puts significant pressure on return on equity. Operating expenses increased to \$2.9 billion in Q1 2025 from \$2.5 billion in Q1 2024, driven by increased R&D; spending on FSD and next-generation vehicle platforms. SG&A; expenses remained elevated at \$1.1 billion as Tesla invested in service center expansion and sales infrastructure.

4. Risk Factors

Tesla faces a complex and evolving risk landscape across competitive, regulatory, macroeconomic, and operational dimensions.

4.1 Demand and Competitive Risk

The electric vehicle market is experiencing intensifying competition from both legacy OEMs and pure-play EV manufacturers. BYD surpassed Tesla in global EV deliveries in Q4 2024 and maintained that lead in Q1 2025. Chinese manufacturers including NIO, Li Auto, and XPENG are aggressively pricing their vehicles, creating margin pressure in Tesla's key markets. Consumer demand in the US has been impacted by rising interest rates, with average monthly payments on new EVs reaching \$812 in Q1 2025. Tesla's vehicle aging lineup, with the Model 3 and Model Y unchanged since 2023 refreshes, faces increasing pressure from newer competitive models. The Cybertruck ramp has been slower than anticipated, with production constrained by supply chain challenges for its stainless steel body panels.

4.2 Regulatory and Political Risk

Tesla faces growing regulatory scrutiny across multiple jurisdictions. The NHTSA has opened investigations into 17 incidents related to Tesla's Autopilot system, creating potential liability and reputational risk. The European Union's investigation into Chinese EV subsidies and potential retaliatory tariffs could impact Tesla's Shanghai Gigafactory export economics. Changes in US federal EV tax credit eligibility under the Inflation Reduction Act have already impacted Tesla's Model 3 rear-wheel drive qualification, reducing demand. Political risks related to CEO Elon Musk's public profile and business activities continue to create brand uncertainty in key European markets, with Tesla registrations declining 45% year-over-year in Germany in Q1 2025.

4.3 Supply Chain and Manufacturing Risk

Tesla's concentration of battery cell supply with Panasonic and CATL creates vulnerability to supply disruptions. The company's reliance on rare earth materials for its permanent magnet motors, particularly neodymium sourced predominantly from China, represents a geopolitical supply risk. Gigafactory Texas is operating below nameplate capacity due to ongoing tooling and automation challenges. The Mexico Gigafactory project has been indefinitely deferred, limiting near-term production capacity expansion options. Lithium prices, while declining from 2023 peaks, remain elevated and volatile, creating uncertainty in battery cost projections.

5. Management Guidance and Outlook

Tesla's management provided cautious guidance for Q2 2025 and the full year 2025 on the earnings call. The company expects vehicle deliveries to grow modestly in Q2 2025, targeting 380,000 to 400,000 units, which would represent a sequential recovery but remain below Q1 2024 levels. Management reiterated its long-term target of 20-30% annual delivery growth but acknowledged near-term headwinds.

CEO Elon Musk highlighted the following key priorities for 2025: First, the launch of a more affordable vehicle platform targeting a sub-\$30,000 price point in the second half of 2025, which management believes will significantly expand Tesla's addressable market. Second, the commercialization of Full Self-Driving (FSD) technology, with Robotaxi service planned to launch in Austin, Texas in June 2025. Third, continued scaling of the Megapack energy storage business, which achieved record deployments of 10.4 GWh in Q4 2024. Fourth, the deployment of Tesla's Optimus humanoid robot in internal manufacturing operations, with the goal of producing 1,000 units by end of 2025.

Metric	Q1 2025 Actual	Q2 2025 Guidance	FY 2025 Guidance
Deliveries	336,681	380K-400K	1.8M-2.0M
Revenue	\$19.3B	\$21.5B-\$22.5B	\$90B-\$95B
Gross Margin	16.3%	16.5%-17.5%	17%-19%
Operating Margin	2.1%	3.5%-5.0%	8%-10%
Capex	\$2.4B	\$2.5B-\$3.0B	\$10B-\$11B

6. AI Strategy and Technology

Tesla's artificial intelligence and autonomous driving initiatives represent a key long-term differentiator. The company's neural network training infrastructure, Dojo, processed over 1 billion miles of real-world driving data in Q1 2025, enabling continuous improvement of the FSD system. FSD version 13.2 was released in March 2025, demonstrating significant improvements in urban driving capability with a reported 3.2x reduction in required human interventions per mile compared to FSD version 12.

The FSD subscription revenue stream grew to \$827 million in Q1 2025, representing 43% year-over-year growth and emerging as a high-margin recurring revenue source. With approximately 2.4 million FSD-capable vehicles on the road, Tesla estimates the total addressable FSD subscription opportunity at \$14.4 billion annually at full penetration. The Robotaxi business model, if successfully launched, could generate ride-hailing economics with Tesla capturing the full fare rather than just vehicle margin.

7. Cash Flow and Balance Sheet

Tesla maintains a strong balance sheet with \$16.2 billion in cash and short-term investments as of Q1 2025. However, free cash flow generation has deteriorated significantly, declining from \$2.06 billion in Q2 2024 to \$0.35 billion in Q1 2025. Capital expenditures remain elevated at \$2.4 billion per quarter as Tesla continues investing in manufacturing capacity, AI infrastructure, and Supercharger network expansion.

Quarter	Operating CF	Capex	Free CF	Cash Balance
Q1 2024	\$3.1B	\$2.8B	\$0.35B	\$17.8B
Q2 2024	\$3.6B	\$1.6B	\$2.06B	\$19.2B
Q3 2024	\$3.2B	\$1.8B	\$1.4B	\$20.7B
Q4 2024	\$3.9B	\$2.1B	\$1.8B	\$22.3B
Q1 2025	\$2.8B	\$2.4B	\$0.35B	\$16.2B

The sharp decline in free cash flow from \$1.8 billion in Q4 2024 to \$0.35 billion in Q1 2025 reflects both lower operating cash generation from reduced profitability and increased capital expenditure. Tesla's debt position remains manageable with \$5.4 billion in long-term debt and a net cash position of approximately \$10.8 billion. The company has no significant debt maturities until 2026, providing financial flexibility. However, if the current margin compression persists and capex remains elevated, free cash flow generation could turn negative in Q2 2025, which would represent a significant negative signal for investors.

8. Earnings Call Transcript Highlights

Q1 2025 Earnings Call — April 22, 2025

Elon Musk (CEO):

I want to be clear that Q1 2025 was a challenging quarter, no question about it. Deliveries came in below our internal targets primarily due to the Cybertruck production ramp issues and softer-than-expected demand in Europe. The 45% decline in Germany is particularly concerning and we are actively working to address the brand perception issues there. However, I am extremely confident in our long-term trajectory. The affordable vehicle launching in H2 2025 will be a game changer. We are targeting a base price of under \$30,000 before incentives, which opens up a massive new customer segment. On FSD, version 13.2 is genuinely impressive. The miles per intervention metrics have improved dramatically and we expect to launch paid Robotaxi service in Austin in June. This is not vaporware — the vehicles are operating autonomously in geofenced areas of Austin right now.

Vaibhav Taneja (CFO):

On the financial side, the 2.1% operating margin in Q1 reflects the combination of lower volume, continued pricing pressure, and our deliberate investment in future growth initiatives. R&D spend increased 28% year-over-year to \$1.2 billion as we accelerate development of next-gen platforms and Dojo AI training infrastructure. We expect operating margins to recover meaningfully in Q2 and H2 2025 as volumes increase and we begin recognizing deferred FSD revenue. Our energy business had a record quarter with Megapack deployments generating \$2.7 billion in revenue at margins significantly above our automotive segment. We ended the quarter with \$16.2 billion in liquidity, which gives us significant flexibility.

Analyst Q&A; — Adam Jonas, Morgan Stanley:

Question: Can you help us understand the bridge from 2.1% operating margins in Q1 to your full year guidance of 8-10%? That seems like a very steep recovery. Response (Musk): Three things drive the recovery. First, volume. We expect sequential delivery growth each quarter through 2025. Second, the new affordable model launches in H2 with a much more efficient manufacturing process — we are targeting 50% fewer components than Model 3. Third, FSD deferred revenue recognition will add approximately 200-300 basis points to margins in H2. These are not aspirational — these are grounded in our internal production and financial models.

9. Investment Thesis

Bull Case:

Tesla's long-term competitive moat remains intact despite near-term headwinds. The company's vertically integrated manufacturing approach, proprietary battery technology, and 50,000+ Supercharger network represent significant barriers to entry. The FSD subscription business at full penetration represents over \$14 billion in annual recurring high-margin revenue. The energy storage business is growing at 40%+ annually and could become the company's most profitable segment by 2027. The Robotaxi opportunity, if FSD achieves L4 autonomy, could generate returns that dwarf the current vehicle business. Tesla's AI and data advantages from 7 million+ vehicles collecting real-world driving data are growing daily and represent a compounding competitive advantage. The affordable vehicle launch could add 500,000-800,000 units of annual delivery volume, meaningfully re-accelerating growth. At current valuation of approximately 60x forward earnings, the bull case assumes successful execution across all these initiatives, implying a 12-month price target of \$450-\$500.

Bear Case:

The operating margin trajectory is deeply concerning. Nine consecutive quarters of margin compression from a peak of 17.2% in Q2 2022 to 2.1% in Q1 2025 suggest structural rather than cyclical challenges. Chinese competition from BYD, which now sells more EVs globally than Tesla and has a cost structure 20-25% below Tesla, represents an existential competitive threat in the world's largest EV market. FSD promises have repeatedly missed deadlines since 2016, creating significant credibility risk around Robotaxi timeline commitments. CEO concentration risk is elevated given Musk's involvement with X, SpaceX, and government advisory roles. If margins do not recover to 8%+ by Q4 2025 as guided, the stock trades at 100x+ earnings, representing significant downside risk. Bear case 12-month price target of \$150-\$180.

Verdict:

WATCH — Tesla is at a critical inflection point. The Q1 2025 results are genuinely concerning and validate bears who have argued that Tesla's premium valuation is unsustainable. However, the H2 2025 catalysts including the affordable vehicle launch and potential Robotaxi commercialization are significant. We would require evidence of margin stabilization in Q2 2025 before turning more constructive. Key metrics to monitor: monthly delivery data, FSD attach rates, energy segment margin progression, and Germany/Europe registration data as a leading indicator of brand health.